

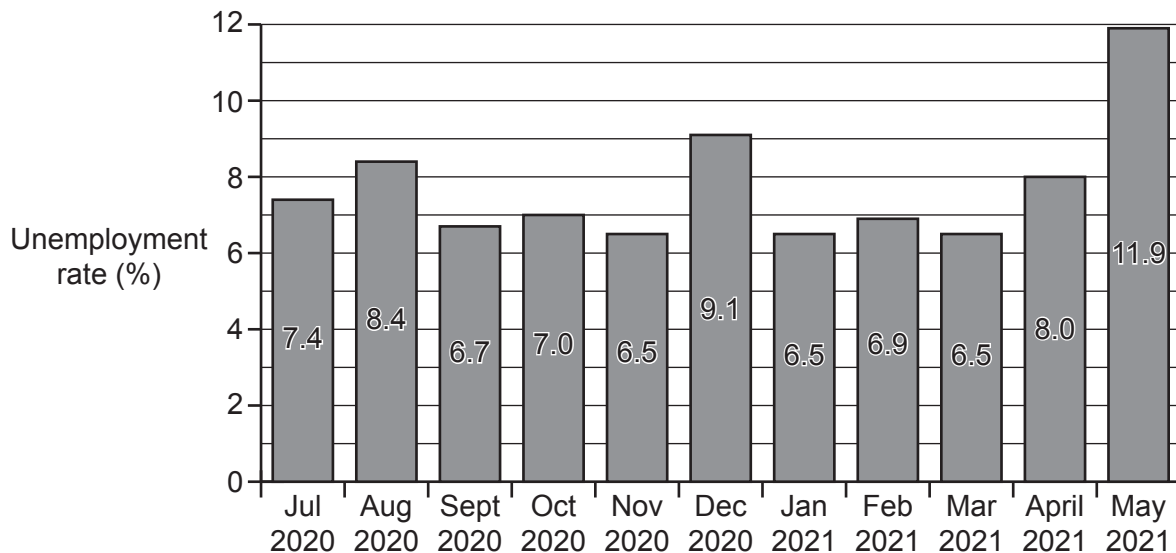
Test Yourself

Macroeconomics

Unemployment

Unemployment in India

Changes in the rate of unemployment in India between July 2020 and May 2021 can be seen in Fig. 1.1.



Source: *tradingeconomics.com*, July 2021

Fig. 1.1: India's unemployment rate, July 2020 to May 2021

India's unemployment rate rose in December 2020, reaching a six-month high. The fact that the unemployment rate has been rising during this period, despite an economic recovery, has raised concerns among economists at the Centre for Monitoring Indian Economy (CMIE) research institute in Mumbai, although they recognise that there are possible difficulties in the measurement of unemployment.

One of the reasons for the increase in unemployment in December 2020 is an increase in frictional unemployment. According to CMIE, India's labour force increased from 421 million in November 2020 to 427 million in December 2020 and the majority of these new workers were unable to find work immediately. Many of these people are reluctant to relocate to take jobs and others are unaware of job vacancies.

Another reason for this increase in unemployment in India is because of seasonal unemployment. One of the main reasons behind rising unemployment has been the failure of the agricultural sector to absorb the additional labour. One economist at CMIE has stated: 'Farming is the last resort of many who are without work. However, December is not the month in which farming can absorb labour. This is the month when it needs fewer workers. In December 2020, the job losses from agriculture were 9.8 million.

The economists at CMIE stated that the rise in unemployment in certain months was not a good sign for the Indian economy as it could lead to higher income inequality and poverty.

Source: *Adapted from India Today*, 5 January 2021

- (a) Using the data in Fig. 1.1, calculate the change in India's unemployment rate between July 2020 and May 2021. [2]
- (b) Using the information provided, explain how agriculture caused seasonal unemployment in India in December 2020. [2]
- (c) Consider the extent to which difficulties may arise in the measurement of unemployment in India. [4]
- (d) Assess whether seasonal unemployment is likely to be a more serious problem than frictional unemployment for India's economy. [6]
- (e) Assess the possible measures that could be taken to increase employment in a country such as India. [6]

Section B

Duration of each question is **40 mins**

1. Explain **two** methods of measuring unemployment and consider the extent of the possible difficulties in obtaining an accurate measurement of unemployment. (8) **q4a/22/O/N/24**
2. Assess whether supply-side policy is likely to be equally successful in reducing both structural and cyclical unemployment. (12) **q4b/22/O/N/24**
3. Explain **three** causes of unemployment and consider which cause is likely to be most damaging to a high-income economy. (8) **q5a/21/M/J/24**
4. Assess which expansionary macroeconomic policy would be most likely to enable a government to meet its economic objective of a low rate of unemployment. (12) **q5b/21/M/J/24**
5. Assess whether increases in aggregate demand are the best way of reducing unemployment in a high-income country (12) **q4b/23/M/J/24**
6. With reference to a country that is known to you, explain the main causes of unemployment **and** consider which of these causes is most significant. (8) **q4a/23/O/N/23**
7. Assess whether supply-side policy is the only way of reducing long-term unemployment in an economy. (12) **q4b/23/O/N/23**
8. Compare the causes of structural unemployment and cyclical unemployment **and** consider which of these types of unemployment is likely to be more harmful to an economy. (8) **q4a/specimen23**
9. Assess whether expansionary monetary policy is likely to be successful in reducing all types of unemployment. (12) **q4b/specimen23**

Section C

Duration **20 mins**

1. Asha is currently unemployed. She has been offered a job but has decided to decline the offer and search for a better paid job.

Which type of unemployment is this?

- A** cyclical
- B** frictional
- C** seasonal
- D** structural

2. A major trading nation, country X, is in equilibrium at the full employment level of real output. There is then a recession in its main international markets.

What are the most likely consequences of this change for country X?

	rate of inflation	unemployment
A	decrease	decrease
B	decrease	increase
C	unchanged	decrease
D	unchanged	increase

3. An economy experiences rising unemployment due to incomes falling as a result of a virus pandemic.

How would this unemployment be classified?

- A** cyclical
- B** frictional
- C** seasonal
- D** structural

4. The number of people employed in a country and the level of unemployment both decrease.

What could explain this?

- A net inward immigration
- B an increase in the level of unemployment benefits
- C an increase in the age at which state pensions are payable
- D an increase in the number of university students

5. What leads to a rise in frictional unemployment?

- A an economy moving into a period of recession
- B replacement of workers with computers in the service sector
- C a change from an agriculturally based economy to an industrial economy
- D a rise in the number of workers leaving one job to look for another job

6. A government is considering building a large hospital. The impact on the country's price level will depend partly on the amount of expensive raw materials the country imports for the hospital and the level of unemployment in the country.

Which combination of imports of materials for the hospital and the level of unemployment is most likely to lead to the largest rise in the price level?

	imports of materials	unemployment
A	high	high
B	high	low
C	low	high
D	low	low

7. The table shows the types of unemployment and their possible solutions.

Which combination is **not** correct?

	type of unemployment	possible solution
A	technological	introduce minimum wage legislation
B	cyclical	raise government spending
C	frictional	increase advertising of job vacancies
D	structural	retrain workers

8. To calculate the unemployment rate, the number unemployed is related to
- A the total adult population aged 18–65.
 - B the number of unemployed who are seeking work.
 - C the total number in full-time employment.
 - D the total population in the labour force.
9. In country X, unemployment is rising at the same time as the number of job vacancies is increasing.
- What is the most likely reason for this?
- A Economic growth is falling.
 - B Economic growth is rising.
 - C Geographical mobility of labour is rising.
 - D Occupational immobility of labour is rising.
10. Two statements about the types of unemployment are shown.
- 1 You will get unemployment if you pay people **not** to work, and tax them when they do.
 - 2 An individual is actively seeking work but due to negative economic growth cannot find employment.

Which row best describes the two types of unemployment in these statements?

	1	2
A	cyclical	structural
B	voluntary	frictional
C	structural	cyclical
D	voluntary	involuntary

MARKING SCHEME

SECTION A

Question	Answer	Marks
Follow the point-based marking guidance at the top of this mark scheme.		
1(a)	Using the data in Fig. 1.1, calculate the change in India's unemployment rate between July 2020 and May 2021. Over this period as a whole, the unemployment rate has increased from 7.4% in July 2020 to 11.9% in May 2021. (1 mark) This is an increase of 4.5% in India's unemployment rate. (1 mark) OR This is an increase of 60.8% (the exact figure is 60.81081%) in India's unemployment rate ($4.5 / 7.4 \times 100$); accept either 60% or 61%. (1 mark)	2
1(b)	Using the information provided, explain how agriculture caused seasonal unemployment in India in December 2020. The agricultural sector has failed to absorb the influx of additional labour; December is not a good month to be taking on more agricultural workers; it is more likely to be a time when agricultural jobs are being lost. (1 mark) In December 2020, 9.8 million jobs were lost in agriculture, more than the 6 million additional labour. (1 mark)	2

Question	Answer	Marks
1(c)	Consider the extent to which difficulties may arise in the measurement of unemployment in India. Inactive workers not actively seeking employment who might look for work if their situation changed. (Up to 2 marks) Discouraged/disincentivised workers who have had no success in finding employment. (Up to 2 marks) Disguised unemployment, i.e. people might be in employment, but are not really doing any meaningful work. (Up to 2 marks) Unreported employment: some workers in India may be registered as unemployed but are in fact in employment, possibly in the illegal or underground or informal economy. (Up to 2 marks) The efficiency of the tax collection system could be a valid difficulty in the measurement of unemployment. (Up to 2 marks) The scale of the operation could also be a valid difficulty. (Up to 2 marks) Particular difficulty of measurement in rural areas of India. (Up to 2 marks) 3 marks maximum Evaluation Offers a valid judgement on the extent to which these are significant difficulties in the measurement of unemployment in India. (1 mark) 1 mark maximum	4

Question	Answer	Marks
1(d)	Assess whether seasonal unemployment is likely to be a more serious problem than frictional unemployment for India's economy. Up to 4 marks for explanation/analysis: Explanation/analysis of seasonal unemployment in India, such as in relation to employment in the agricultural sector. (Up to 2 marks) Explanation/analysis of frictional unemployment in India resulting from the reluctance of people to relocate to other places or other sectors to take jobs, due to geographical immobility and/or occupational immobility. (Up to 2 marks) Guidance: Award 2 marks if detailed explanation/analysis of one type of unemployment. Award 1 mark for less detailed explanation/analysis of one type of unemployment. Up to 2 marks for evaluation: Relevant evaluation which considers both types of unemployment. (1 mark) A conclusion on the extent to which one type of unemployment is a more serious problem than the other for India's economy. (1 mark)	6

Question	Answer	Marks
1(e)	Assess the possible measures that could be taken to increase employment in a country such as India. Up to 4 marks for explanation/analysis: <u>Fiscal policy</u> could be used to increase employment, such as through decreases in taxes and/or increases in public expenditure, e.g. on infrastructure investment projects, to include potential problems of such measures. (Up to 2 marks) <u>Monetary policy</u> could be used to increase employment, such as through decreases in interest rates and/or increases in the money supply, to include potential problems of such measures. (Up to 2 marks) <u>Supply-side policies</u> could be used to increase employment, such as through making the labour market more flexible, increasing the training/retraining provision, reducing disincentives to work, such as reducing unemployment benefits, reducing marginal tax rates and the encouragement of investment, to include potential problems of such measures. (Up to 2 marks) 4 marks maximum Up to 2 marks for evaluation: Relevant evaluation such as in relation to the extent of the unemployment (Fig. 1.1 shows that the rate of unemployment in India has varied between 6.5% in November 2020 and January 2021 and 11.9% in May 2021), whether the measures are essentially short-term or long-term (particularly the case with supply-side measures) and whether they are concentrated in particular regions of a country.	6

SECTION B

Question	Answer	Marks
1	Explain <u>two</u> methods of measuring unemployment <u>and</u> consider the extent of the possible difficulties in obtaining an accurate measurement of unemployment. Follow the point-based marking guidance at the top of this mark scheme and award: up to 3 marks for AO1 Knowledge and understanding, up to 3 marks for AO2 Analysis, and up to 2 marks for AO3 Evaluation. AO1 Knowledge and Understanding (max 3 marks) The question refers to methods of measurement and not types of unemployment. Answers focused on types and not measures cannot answer the question without any reference to methods of measurement and must not be rewarded. For the identification of 2 methods of measuring unemployment (1) plus for a brief explanation of both measures 2x(1). Guidance for explanation marks: The two most used measures are the claimant count measure which is a measure based on those claiming benefits (1) and the labour force measure which is a measure of unemployment based on a survey that identifies people who are actively seeking a job (1). However, if the meaning of these measures is clearly understood then they do not need to explicitly refer to the terms. AO2 Analysis (max 3 marks) - The difficulties in obtaining an accurate measurement using both methods should be considered. e.g., the claimant count figure may omit people actively looking for a job and may include people who are, in reality, not looking for a job. - Whereas the labour force measure is based on sampling which may not be entirely accurate due to sampling errors and/or problems associated with data collection in general. Note: maximum of 2 marks if the difficulties of only one method of measurement are analysed. AO3 Evaluation (max 2 marks) An assessment of the difficulties of both measures is required with an overall assessment of the extent of the possible difficulties (1), leading to a valid conclusion (1).	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
2	Assess whether supply-side policy is likely to be equally successful in reducing both structural and cyclical unemployment. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis - The discussion should focus on the strengths and weaknesses of supply side policy to solve both cyclical/demand-deficient and structural unemployment. - For example, supply side policies may be used to encourage investment into education and training and infrastructure to solve structural problems in the economy and hence structural unemployment. - However, supply side policies may be less successful in solving cyclical/demand deficient unemployment as they have less impact on the level of aggregate demand (AD) – unless for example, if they involve a direct injection of government spending due to the additional investment. - Other disadvantages include the potential cost of the policy and the time taken for the policy to be effective. - Although not necessary, other demand side policies, e.g., fiscal and monetary policies, may be analysed to explain the possible disadvantages of supply side policy. This is an acceptable approach. Level 1 responses will be assertive and lacking in explanations / mainly descriptive and/or or mainly lacking in relevance to the question. Level 2 responses may contain some inaccuracies and may be one sided. Analysis will be explained at least in part and will be largely relevant to the question. Level 3 responses may consider alternative policies / concepts etc. and will be balanced. Explanations of points raised will be offered and will be accurate and relevant to the question. AO3 Evaluation - Requires an assessment of the advantages and disadvantages of supply side policies in solving both types of unemployment. Leading to - An overall conclusion as to whether supply side policy is always (more) likely to be equally (more) successful in solving both types of unemployment. A one-sided response cannot gain any marks for evaluation.	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

Question	Answer	Marks
3	Explain <u>three</u> causes of unemployment and consider which cause is likely to be most damaging to a high-income economy. Follow the point-based marking guidance at the top of this mark scheme and award: up to 3 marks for AO1 Knowledge and understanding up to 3 marks for AO2 Analysis up to 2 marks for AO3 Evaluation. AO1 Knowledge and Understanding (max 3 marks) For a clear and accurate explanation of three causes of unemployment from frictional, structural, cyclical (demand deficient), seasonal or technological (3×1). AO2 Analysis (max 3 marks) Each cause identified must be analysed, and judgements made about how damaging it might be for a high-income economy (3×1). For example, points to consider may include: • Frictional unemployment may be dependent on information provision. • Structural unemployment may be permanent and difficult to solve. • Cyclical unemployment depends on the economic cycle. • Seasonal depends on alternative sources of employment. • Technological depends on occupational or geographical immobility of labour. AO3 Evaluation (max 2 marks) For an answer that clearly assesses how damaging each cause may be to a high-income developed economy in comparison with each other (1) that leads to a justified conclusion as to which may be the most damaging (1).	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
4	Assess which expansionary macroeconomic policy would be most likely to enable a government to meet its economic objective of a low rate of unemployment. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis - The analysis must focus on the advantages and disadvantages of using at least two expansionary macroeconomic policies to keep unemployment low. For example, one policy might be an expansionary supply-side policy with an emphasis on training and education which would allow people to be more employable, e.g., by having more relevant skills but it may be time-consuming and costly. - This chosen policy must then be contrasted with an alternative policy / policies. For example, expansionary monetary policy may be suggested with the use of low interest rates to encourage investment and boost employment, but the investment may be directed towards more capital-intensive production. Note. The focus of the question must be on how a low rate of unemployment may be achieved. Level 1 responses will be assertive and lacking in explanations / mainly descriptive and/or or mainly lacking in relevance to the question. Level 2 responses may contain some inaccuracies and will be one sided. Analysis will be explained at least in part and will be largely relevant to the question. Level 3 responses will consider alternative policies / concepts etc. and will be balanced. Explanations of points raised will be offered and will be accurate and relevant to the question. AO3 Evaluation: - That clearly compares the likely success of at least two expansionary macroeconomic policies that leads to: - A valid conclusion as to which policy would be most likely to meet the economic objective of a low rate of unemployment. - Accept all valid responses.	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

Question	Answer	Marks
5	Assess whether increases in aggregate demand are the best way of reducing unemployment in a high-income country. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis • An understanding of what is meant by unemployment and the main types in a high-income economy. • For a recognition that increases in aggregate demand arise normally from fiscal and / or monetary policy. • An analysis of how policies to increase AD e.g., by reducing taxes, increasing government spending, reducing interest rates etc., may reduce cyclical unemployment but may not reduce structural unemployment. • An analysis of how supply side policy may reduce unemployment by influencing AS e.g., through training and education, deregulation etc., but has limitations e.g., it is a long-term approach and may be costly and does not address the issue of falls in AD responsible for cyclical unemployment Level 1 responses will be assertive and lacking in explanations / mainly descriptive and/or or mainly lacking in relevance to the question. Level 2 responses may contain some inaccuracies and will be one sided. Analysis will be explained at least in part and will be largely relevant to the question. Level 3 responses will consider alternative policies / concepts etc. and will be balanced. Explanations of points raised will be offered and will be accurate and relevant to the question. L2 max if no reference to high-income countries AO3 Evaluation For a clear assessment as to whether increases in AD compared with increases in AS are the best way to reduce unemployment in a high-income economy leading to a justified conclusion. N.B. if no reference to a high-income country, no evaluation marks may be awarded Accept all valid responses. A one-sided response cannot gain any marks for evaluation. Please use a text box to show the mark split e.g., L2 5 L1 2	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

Question	Answer	Marks
6	With reference to a country that is known to you, explain the main causes of unemployment <u>and</u> consider which of these causes is most significant. Follow the point-based marking guidance at the top of this mark scheme and award: • up to 3 marks for AO1 Knowledge and understanding up to 3 marks for AO2 Analysis • up to 2 marks for AO3 Evaluation. AO1 Knowledge and understanding (max 3 marks) • For an understanding of what is meant by/a definition of unemployment (1) • For an understanding of what is meant by at least two types of unemployment (2 × 1) AO2 Analysis (max 3 marks) An analysis of the causes of these two types of unemployment and their significance applied to a named country known to the candidate. (up to 3 marks) Note: If only 1 type of unemployment is analysed then 2 marks maximum. If there is no named country, then 1 mark maximum. AO3 Evaluation (max 2 marks) For an evaluation of which cause is the most significant in the named country leading to a justified conclusion (reserve 1 mark).	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
7	Assess whether supply-side policy is the only way of reducing long-term unemployment in an economy. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis • Analysis of what is meant by supply side policy and how it can be applied to reduce long-term unemployment e.g., by retraining and updating skills, by providing information on job vacancies, by encouraging business start-ups etc. • Analysis of the advantages of using supply side policy e.g., may be non-inflationary, may be more long-term etc. • Analysis of the disadvantages of supply side policy e.g., may take a long time to have an effect, opportunity cost, receptiveness e.g., of the workforce, policies may not work depending on the type of unemployment e.g., demand side policy may be more applicable for cyclical unemployment. • An analysis of the advantages and disadvantages of at least one alternative macroeconomic policy. L3 lower-level max if only the advantages and disadvantages of supply side policy are analysed. L2 max if only advantages OR disadvantages of supply side policy are analysed. AO3 Evaluation • For an evaluation of whether supply side policy is the only way of reducing long term unemployment leading to a reasoned conclusion. Accept all valid responses. A one-sided response cannot gain any marks for evaluation.	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

Question	Answer	Marks
8	Compare the causes of structural unemployment and cyclical unemployment <u>and</u> consider which of these types of unemployment is likely to be more harmful to an economy. Follow the point-based marking guidance at the top of this mark scheme and award: up to 3 marks for AO1 Knowledge and understanding up to 3 marks for AO2 Analysis up to 2 marks for AO3 Evaluation. AO1 Knowledge and understanding (max 3 marks) A clear understanding of what is meant by structural unemployment (1) and a clear understanding of what is meant by cyclical unemployment (1) and a clear recognition of the difference between the two. (1) AO2 Analysis (max 3 marks) The reasons why both types of unemployment might arise. • explanation of one reason why structural unemployment might arise (1) • explanation of a second reason why structural unemployment might arise (1) • explanation of one reason why cyclical unemployment might arise (1) • explanation of a second reason why cyclical unemployment might arise (1) AO3 Evaluation (max 2 marks) Offers a valid judgement on which type of unemployment is likely to be more serious for an economy (1) to reach a conclusion. (1)	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
9	Assess whether expansionary monetary policy is likely to be successful in reducing <u>all</u> types of unemployment. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis • The meaning of expansionary monetary policy. • The tools of monetary policy appropriate to an expansionary monetary policy; increases in the money supply and/or a reduction in the rate of interest. Guidance: Credit mention of devaluation of the exchange rate, but it is not required at AS Level. • An explanation of the way in which these tools of monetary policy will operate to reduce unemployment – the impact of an increase in the money supply and/or a reduction in the rate of interest; the impact of a depreciation of the exchange rate. • An explanation of the strengths and weaknesses of each measure. AO3 Evaluation • Consideration of whether each measure is appropriate for all types of unemployment. • To arrive at a conclusion on whether expansionary monetary policy is likely to be successful in reducing all types of unemployment. Accept all valid responses.	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

SECTION C

- 1. B**
- 2. B**
- 3. A**
- 4. D**
- 5. D**
- 6. B**
- 7. A**
- 8. D**
- 9. D**
- 10. D**